

PAGERO



Country Compliance Report: Finland

Information class: Restricted



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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Finland, which will be used throughout the whole document.

Term	Explanation
AoR	Business response from the buyer to the supplier regarding the received document, which can be positive (acceptance) or negative (rejection), and must be issued after the validation of the received document with MH
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2G	Business-to-Government refers to the business relationship a company selling products, services or information to governments or government agencies
Post audit	The post-audit tax regime allows trading partners to exchange e-documents as well as other transactional documents directly with each other, without any real-time or immediate controls performed by the tax office. Even though e-documents are allowed, there are no provisions as to what format, infrastructure, or how they should be created, issued, or distributed. The main requirements on the taxpayers are to ensure document content, integrity, and authenticity, as well as appropriate archiving. The term post-audit stems from the fact that Tax audits can be performed months or years after the transactions originally took place.
Interoperability as a CTC	Trading parties exchange e-invoices in a predefined format and a predefined method, either directly with each other, or typically, via service providers that may require certain accreditations
Peppol network	Trading parties exchange e-invoices in a predefined format and a predefined method, either directly with each other, or typically, via service providers that may require certain accreditations
EN16931	A European standard that defines a semantic data model for a core invoice. EN16931 complies with the European Directive on electronic invoicing for public authorities (EN 2014/55/EU)



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Finland, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • State Treasury • Tieke (Information Society Development Center) • Skatteförvaltningen Finnish Tax Administration
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• VAT Act (1993) • Tax Administration's guidance VH/1780/00. "Laskutusvaatimukset arvonlisäverotuksessa" • Law 241/2019 on electronic invoicing • Invoice requirements -VAT- Tax administration instructions



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes ¹	• Yes
e-Invoicing model	• Post-audit for B2B and • Interoperability/Peppol for B2G
e-Invoice definition ²	• "Electronic invoice" means an invoice issued, transmitted and received in structured electronic form with automatic processing and complying with a European standard for electronic invoicing.
Scope of taxpayers the e-document mandate applies to	• Mandatory for Issuing: ◦ Suppliers to all Public contracting authorities • Mandatory for Receiving: ◦ All Public contracting authorities • Companies with an annual turnover of more than EUR 10.000 have the right to request their suppliers to send e-invoices.
Mandatory AoR (document response) process	• No explicit requirement.
Implementation / roll-out plan	• Implemented: ◦ Since 1 April 2019: Obligation of the contracting entity to receive and process electronic invoices • Since 1 April 2020: The right of the contracting entity and the private trader to receive an electronic invoice

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

The following thresholds apply to the requirement to be registered for an IT number in Finland:

- Established: EUR 15.000
- Non-established: None
- Distance selling: EUR 35.000
- Intra-Community acquisitions: None

Electronically supplied services (MOSS): EUR 10.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

Finland's IT number format: 1234567-8 (used for domestic trade, imports and exports)
FI12345678 (used for intra-Community trade)

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Buyer's consent required • Agreement required, no explicit content

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	No explicit requirements
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4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Not explicitly required. However, strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	Service providers must fulfill several criteria set by Tieke. Among other things, Service Providers must be a member of the E-Invoice Forum, follow specific rules for data transmission and receipts, and communication protocols. Please see more details in section 10.2

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Finland has no explicit requirements on the outsourcing of the function of receiving invoices. However, service providers are required to fulfil the criteria of Tieke as outlined in [section 10.2](#).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	- Formats that comply with the European standard (EN), namely: TEAPPSXML 3.0 Finvoice 3.0	Private businesses may request EN compliant e-invoices from suppliers
Other document format(s) commonly used for exchange between trading parties	PEPPOL BIS	PDF, PEPPOL BIS
Mandated platform(s) required to have connection with for e-document processing	- No explicit platform has been developed for exchanging e-invoices. Rather numerous channels for submission are available to suppliers. - Interoperability- <i>it is common for numerous Finnish invoicing providers to offer connection to another provider for invoice exchange</i> - Peppol to the state treasury and other Service providers. - For manual upload of e-invoices (invoicing the central government): Basware Supplier Portal Handi Supplier Portal	
Other platform(s) relevant for e-document processing	List of service providers platforms who are members Tieke forum.	
Schematron(s), XSD schema or other official mechanisms ensuring document content	According to this Schematron validation rules (Both TeappsXML and Finvoice)	N.a

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	Name of organization, the Business ID of the organization, E-invoice address, Broker ID⁴, etc Via the E-invoicing address book Tieke.
Other technical aspects	- No - No

5.2. Communication with the central government

Regulations in Finland foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	B2G: Allowed, automated transmission via, e.g. service provider or Peppol.
Manual	<u>Web portal</u> - B2G: Allowed via the web portal of Basware Supplier Portal or Handi Supplier Portal. <u>Email</u> - B2G: Not allowed
Other options	B2G: Paper invoice may be accepted only in exceptional circumstances.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

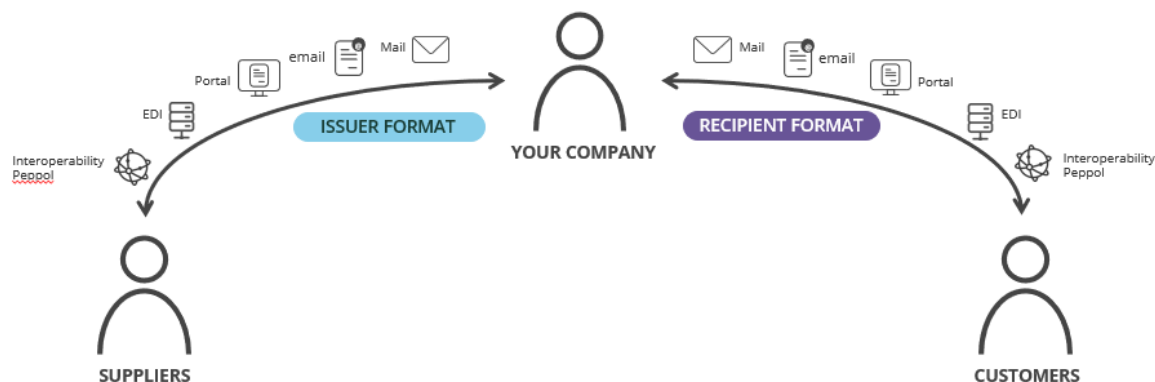
5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

B2B invoicing

There are no explicit technical process requirements on e-invoices issuance in Finland, such as exchange with a predefined infrastructure, as B2B e-invoicing follows the post-audit model. The graph below illustrates the generic issuance process:

⁴ Also known as "Service providers ID", Pagero's Broker ID is 003723609900 or PAGERO



(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences

(2) The key requirements are to ensure the country-specific document content, document integrity, and authenticity, as well as archiving requirements

(3) Neither document format nor exchange mechanism is mandated. However, EN compliant format e-invoices can be requested by Private enterprises

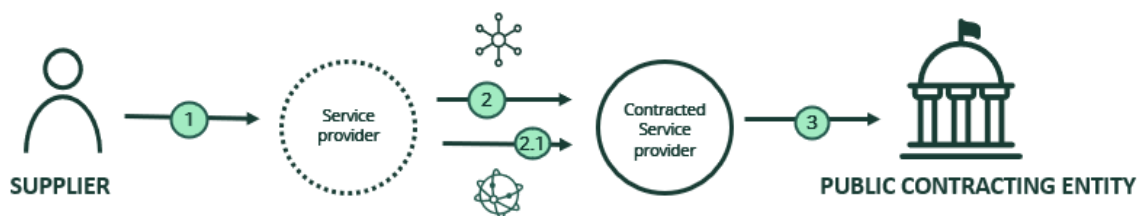
B2G invoicing

Central government agencies

According to the Finnish Government's [Electronic Invoicing Website](#), the supplier to central governments entities have the following options:

- Establishing an interoperability agreement with the Finnish Government's electronic invoicing **contracted service provider**⁵ (currently [OpusCapita Solution](#).⁶)
- Using the Peppol network via a Peppol service provider

The graphs below illustrate the issuance process from the suppliers perspective:



(1) Supplier provides invoice data to the sending service provider (SSP)

⁵ Unlike other government agencies, Apix Messaging Oy is the e-invoicing operator of the Defense Forces and the Security of Supply Center, and the broker ID is 003723327487.

⁶ Pagero has established an interoperability agreement with OpusCapita

(2) SSP/Supplier sends the final e-document to a contracted service provider in a legally predefined format via interop agreement with OpusCaptita.

(2.1) SSP/Supplier sends the final e-document to the Finish Government via Peppol network.

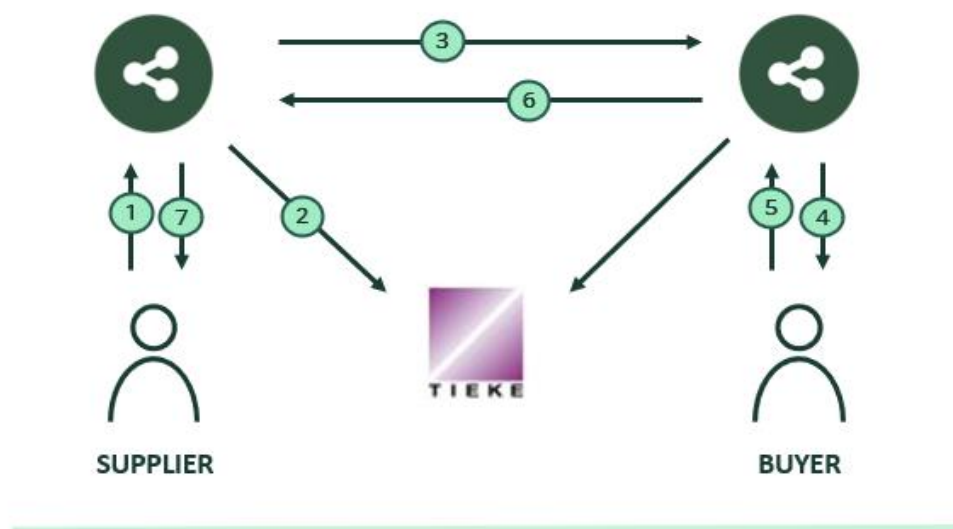
(3) The Central GOV entity receives the e-document in the mandatory format compliant with the EN standard.

If the supplier cannot send an electronic invoice, the Finish government has made available free of charge the use of [Handi Supplier Portal](#), [Basware Supplier Portal](#) and [the Postal Network Service](#) for manual creation and upload of the e-invoices.

Non-central government agencies

Non-central entities may use the services of service providers following the four corners model framework. This can be predefined in the public procurement contract (tender process). Therefore, suppliers should consult their public buyers to understand which Service provider they use and which mechanisms are available for e-invoice submission.

Please note that all Finish government agencies are registered in the Tieke address book. The graph below illustrates the interoperability framework in Finland.



5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

B2B

No explicit requirements.

B2G

Sending an e-invoice from a central governmental entity to a foreign customer

Sending an e-invoice from a governmental entity to a foreign customer requires that the customer/customer's service provider has an interoperability agreement with OpusCapita or that the customer's/ CSP is connected to the Peppol network.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

B2B

There are no explicit requirements on the B2B reception, validation, or AoR processes. On the B2B, Finland follows the post-audit model, which has been outlined above under [section 5.3.1](#).

B2G

Similar to the B2B side, in Finland, there is no explicit requirement for the public authorities to validate received documents nor are they required to offer AoR messages to suppliers. However, e-invoices whose content is not correspondant with EN standard will be rejected by the government entities. See more about validation in [section 5.6](#).

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

B2B invoicing

No explicit requirements on the B2B side. See [section 5.3.1](#) above.

B2G invoicing

Central government agencies

The same process of document issuance applies to receiving e-documents from the central government in Finland. i.e., as a buyer from the central government, you shall use the Peppol network, or have an agreement with OpusCapita. See [section 5.3.1](#) above.

The central public entity may accept to send a paper invoice in the case you or your service provider does not have an agreement with OpusCapita on sending electronic invoices and you/service provider is not in the Peppol network.

Non-central government agencies

See the interoperability framework outlined in [section 5.3.1](#) above.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

B2B: No explicit requirements.

B2G: Invoicing the Central Government as a foreign supplier:

Receiving an e-invoice from a foreign company to a central public entity also requires the same prerequisites as the above.

No explicit requirements on cross-border invoicing for non-central governmental agencies.

5.5. AoR (response) process

There is currently no specific requirements to follow for Accept or Reject messages, however solutions are currently being explored in the Tieke provider forum.

5.6. Mandatory infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Finland, there is no specific mandatory infrastructure/hub that validates the e-documents. Validation rules apply to Service providers receiving e-invoices on behalf of their customers.

The obligatory fields in the national format must be completed in accordance with the descriptions, for example, invoice number and invoice date. For more information, please refer to this [Public administration's instruction](#) for the acceptance of electronic invoices compliant with the semantic data model as per Directive 2014/55.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

In Finland, there are no specific requirements for wording of the invoices to distinguish a copy from the original.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

In Finland, the 4 corner model is widely used in both B2B and B2G transactions. Electronic invoice senders and receivers have an intermediary/service provider that is responsible for handling and delivering the sender's and receiver's electronic invoicing delivery process. See the different requirements for B2B and B2G in sections [5.3](#) and [5.4](#).

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Credit note
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note
Other scenarios with different correction option	• Credit note
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• No explicit requirements
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	Allowed provided the authenticity of the provider and the integrity of the content is guaranteed
Whether any conditions apply, and which, to the dematerialisation	No
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	Allowed provided the authenticity of the provider and the integrity of the content is guaranteed
Whether any conditions apply, and which, to the materialisation	No

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

In Finland, there are several infrastructures for the mandatory submission of the invoice where different SLAs (service level agreements) may be applicable accordingly.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Credit / debit note
Documents mandatory for issuance by buyer	• No explicit requirements

Item	Commentary
Self-billing allowed	• Yes, the invoice shall state “self-billing” or an equivalent expression in another language.
Simplified invoice allowed	• Yes

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with	• No

number 2 cannot have an invoice date older than the invoice with number 1)

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)⁷ rates

This section illustrates the applied IT⁸ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates ⁹		
24%	Standard	All other taxable goods and services.
14%	Reduced	Most foodstuffs including restaurant and catering services (food served at restaurants) Animal feed Drinking water
10%	Reduced	Books Newspapers and periodicals Pharmaceutical products Physical exercise services Film screenings Entrance fees to cultural and entertainment events Passenger transport Accommodation services Royalties for television and public radio activities
0%	Zero	The sale, rental and chartering of VAT-exempt vessels and work performed on such vessels Tax-exempt sales of editions of membership bulletins to non-profit organisations Tax-exempt sales relating to warehousing procedures (tax warehouse in VAT) exports outside the EU Sales of goods within the EU to VAT-liable buyers (guidance on VAT in EU trade) Other tax-exempt sales of goods and services relating to international trade, such as tax-exempt sales to diplomats and international organisations.
	Exempt	Health and medical services Social services

⁷ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁸ Local name: Arvonlisävero (ALV)

⁹ <https://www.vero.fi/en/businesses-and-corporations/taxes-and-charges/vat/rates-of-vat/>

	General education, vocational training, university-level teaching and basic artistic teaching
	Financial services and insurance services
	Certain performing artists' fees
	Copyrights
	Sales and rental of real estate and apartments
	General postal services
	Certain other goods and services (such as organisation of lotteries).

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Finland. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	- No, the required information may be written in any language. - Still, the tax administration may ask for a translation during a tax audit or other control procedure
Sequential numbering	Yes
Required to mention copy or duplicate in case a copy is issued	No
Reference in case of outsourced issuance	No

Supplier data	
Full legal name of the supplier	Yes
Allowed to abbreviate or shorten the legal name of the supplier	Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	Yes
Allowed to mention the PO box address instead of the legal address of the supplier	Yes
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	Yes, if a registration is available in the country of supply
IT identification number of the supplier in the country of establishment	No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	No

Legal form of the supplier	No
Trade register number of the supplier	No, there are no trade register numbers in Finland. Business ID (a code given to businesses and organizations by the authorities) must, however, be mentioned. Each company is issued with a business ID, irrespective of whether they are entered in the trade register or not. The business ID takes the following form: 1234567-8.
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	No
Place of legal seat of the supplier (Headquarters)	No
Other supplier data	No

Customer data	
Full legal name of the customer	Yes
Allowed to abbreviate or shorten the legal name of the customer	Yes
Address of the customer in country of establishment	Yes
Bill-to address when it is different from the registered address of the customer	Yes
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	Yes
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	- No, required only if the buyer is a taxable person based on a reverse charge or an intra-Community sale of goods. - Finland introduced a domestic reverse charge for supplies within the construction industry in April 2011, and for supplies of scrap metal in 2015
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	No
Other customer data	No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• Only if it differs from the invoice date.
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No
Shipped to location (for the supply of goods)	• No
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• No, but recommended
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No, but recommended
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Yes
Which exchange rate must be applied in order of priority	• 1. The daily exchange rate from a commercial bank; • 2. The daily exchange rate from the European Central Bank;
Terms of payment	• No, but recommended

IBAN and BIC number of supplier	No, but recommended
Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Yes
List the required references in case of exemption or reverse charge	"Alv-vapautettu", "VAT exempt" "käänteinen verotus", reverse charge
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - "Transfer of own goods- article 17 VAT Directive"?	Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	No
Specific references required in case invoicing is outsourced	No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	No

Other specific requirements/references to be mentioned on an invoice

- Invoices sent to the Finnish government entities may include [additional requirements](#) such as an order number, contract number, billing reference, or site information.

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• EUR 400,00
Other supplies for which a simplified invoice can be issued	• In retail and in similar sales directed mainly to consumer customers (without a maximum limit) • Receipts from vending machines
Simplified invoices limited to certain type of supplies	• No
Simplified invoices not allowed for certain transactions	• Simplified information cannot be applied on intra-Community supply of goods (§ 72 b, VAT Act), on distance sales of goods (§ 63 a, VAT Act) and on supply of goods or services carried out in another EU country on which VAT reverse charge is applied, and the purchaser must pay VAT
Minimum content requirements on a simplified invoice	• The invoice issuance date, the name and business identification number (or VAT number) of the supplier, description of the quantity and quality of the goods or services supplied, the amount of VAT to be accounted for the supply or, alternatively, the tax base per each VAT rate applicable. Additionally, in case of corrective invoices, a reference to the original invoice must be included.
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by a non-established supplier on which IT is due by the supplier • Invoices issued by an established supplier that are taxable in another country but where IT is due by the customer • Invoices issued by an established supplier that are taxable in our country
(other) Invoices subject to the national invoice requirements (not self-bills)	• No

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Finland, credit and debit notes must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	No, but recommended
Reference to original invoice required on a credit note	Invoice number and date.
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	No, but recommended
Reason for credit required	No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	No
Allowed to issue one credit note to correct different invoices	- Yes - Reference to the respective invoices must be made.

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Additional elements on top of the EN standard minimum requirements can be used.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means accepted such as Business Controls, EDI, e-signature	• Any means accepted such as Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements, but an explicit agreement is strongly recommended	• No explicit requirements, but an explicit agreement is strongly recommended

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements if applied	• QES • AES

	• Advanced electronic seal
Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property ¹⁰	• 6 years
Start point of retention period calculation for invoices not related to immovable property	• From the start of the year following the end of the financial year.
Retention period for e- invoices related to immovable property	• 13 years
Start point of retention period calculation for invoices related to immovable property	• After the end of the calendar year during which time the audit period has begun
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 3 years for invoices for which VAT refund has been sought on the basis of the purchaser being entitled to the refund for diplomats
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• 3 years from the start of the year following the date on which the invoice is paid.

¹⁰ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Outsourced archiving	• Allowed
Archiving abroad¹¹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Storage abroad permitted in another EU member states subject to online access. Storage outside the EU possible upon meeting additional conditions.
Other requirements in relation to electronic document retention	• No

¹¹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No
Transportation documents	• No explicit requirements
Other	• No



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

The Finnish e-invoicing Act does not contain provisions on any potential penalties

10.2. eKuitti Project and the mandatory use of e-receipt and e-order messages

To stimulate the transition to the real-time economy, the Finnish government has initiated the eKuitti project for the e-receipts exchange for both businesses and consumers. The implementation of the project is promoted by the [Nordic Smart Government project \(NSG\)](#) and is headed by the [Finnish Patent and Registration Office \(PRH\)](#) in cooperation with the [State Treasury and the Tax Administration](#). The goal of the project is to automate the flow of financial information between companies in Nordic countries. In 2019, the state government launched a pilot for this project and the goal is to go live in 2025. This means that by 2025 e-receipts will be considered as a compulsory government solution, and anyone dealing with the government must use e-receipts. Further, the Finnish government will require the use of e-order messages by 2025, however, the government has not yet communicated more details.

10.3. Tieke and e-invoicing in Finland

TIEKE (Finnish Information Society Development Centre) has established a forum for e-invoicing service providers. The e-invoicing forum aims to promote the use of e-invoicing in Finland. The e-invoicing forum is open to everyone interested in developing electronic invoicing. Pagero is among [the list of e-invoicing forum members](#).

TIEKE has also made available the [E-invoice address registry](#), a search engine for the e-invoice addresses of all Finnish organizations.

10.4. Requirements on the e-invoicing service providers

The table below provide a high-level overview of the requirements on the outsourced party acting on behalf of the taxpayers for issuing invoices.

Requirement	Commentary
Responsibilities of the e-invoice service provider	Membership of the E-Invoice Forum
Data transmission and data receipts	- Transmitting invoice data between e-invoicing operators must be on a 24/7 - Acknowledgment message must be sent for the received invoice data within 24 hours of receiving the data. - Enabling updated Schematron files
Storage	- Invoice data must be kept for at least three (3) months - Invoice processing records must be retained for at least six (6) months
Support	- Free support service with availability at least on weekdays from 9 am to 4 pm (EET). - The support service must be available in at least English - A monitoring system must be in place from which the support request can be traced for a period of six (6) months
Contents	- Support TEAPPSXML and / or Finvoice - Support European Invoicing Standard (EN16931) - Support for attachment (pdf at least)
Proxies and connections	- SFTP or HTTPS protocols - Data processing servers and relay systems are monitored 24/7
E-invoice address book	Liability to conform to the currently valid e-invoice addressing policy defined by the E-Invoicing Forum
Other criteria	- Agreements for handling e-invoices must be based on Finnish law and any disputes must be resolved in a Finnish court. - The language of the working groups of the service providers network is Finnish

10.5. Åland islands

The landscape of Åland does not belong to the European Union (EU) VAT or excise tax area. Åland, however, belongs to the EU customs union and customs area. According to Articles 5 and 6 of Council Directive 2006/112 / EC (Value Added Tax Directive), Åland in value-added tax is a third territory (i.e., equivalent to a non-EU country) in relation to other Finland and other EU countries.

As a result of this special position, there is a VAT rate between Åland and the EU's VAT area (i.e. EU countries including Finland). The tax constraint implies that the VAT Act's rules on exports and imports relating to trade with third countries apply to trade and transfer of goods between Åland and the EU VAT area.

Åland's special position does not affect the state's taxation rights. Finland, according to the VAT Act (1501/1993), consists of Finland's VAT area under EU legislation and the Åland region. Thus, the VAT Code is also applied to Åland.

E-invoicing on Åland is not compulsory, the city of Mariehamn (the regional capital) receives and sends both paper, PDF and e-invoices.

- Mariehamn city's electronic invoice routing codes:

Net Billing Address: 003702050714 Operator Name: CGI (former Logica) Operator's Distribution Code: 003703575029

- Email for PDF:

faktura@mariehamn.ax

- By Post:

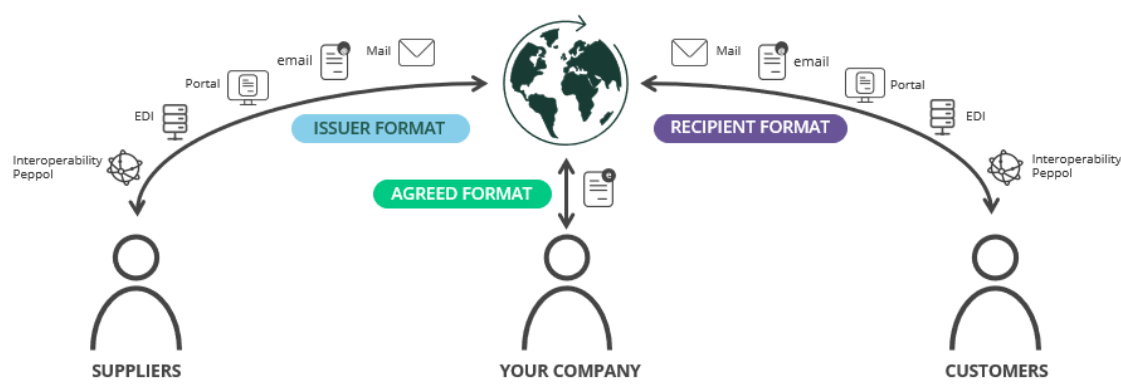
Mariehamn City "Department / Contact Person" Pb 10 AX-22101 MARIEHAMN Åland, Finland

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero

B2B invoicing



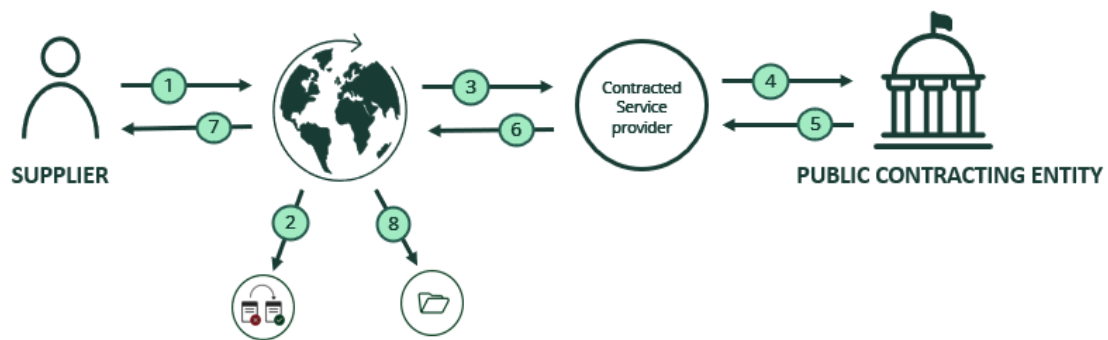
(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and numerous exchange mechanisms for document reception and distribution

(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

B2G invoicing



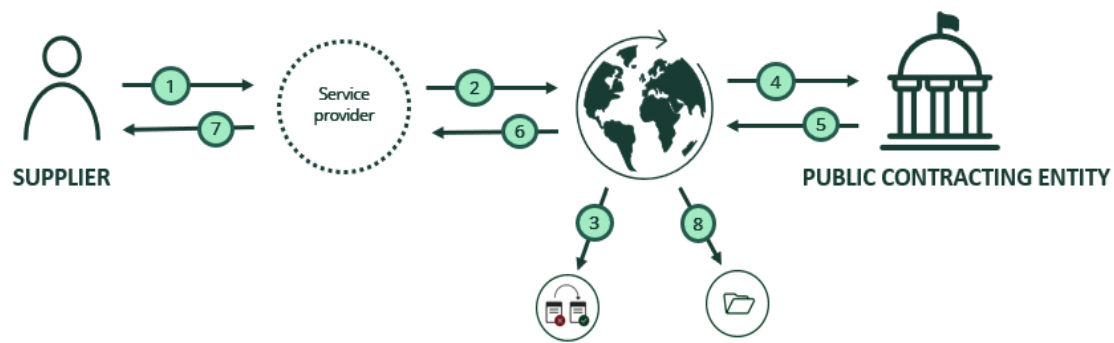
- (1) Supplier provides data in supplier preferred format to PAGERO
- (2) PAGERO performs data content validation, enrichment and conversion, document format conversion, applies e-signatures, etc.
- (3) PAGERO sends the final e-document to contracted service provider of the public entity
- (4) The contracted service provider sends the received e-document to the public entity in one of the mandatory formats in Finland compatible with EN standard.
- (5-7) A positive or negative acknowledgment message must be sent for the received invoice data within 24 hours of receiving the data.
- (8) PAGERO archives all relevant documents on behalf of the supplier

11.2. Document reception (AP) with Pagero

B2B invoicing

Similar to the issuance process as B2B follows the post-audit model in Finland. See the chart in [section 11.1](#) above.

B2G invoicing



- (1) Supplier provides data in supplier preferred format to the sending service provider (SSP)
- (2) SSP/supplier sends the final e-document to PAGERO in a predefined format and according to a predefined exchange protocol
- (3) PAGERO performs data content validation, enrichment and conversion, document format conversion, conducts e-signature validations, etc.
- (4) PAGERO sends the received e-document to the buying public entity in one of the mandatory formats in Finland compatible with EN standard.
- (5-7) A positive or negative acknowledgment message must be sent for the received invoice data within 24 hours of receiving the data.
- (8) PAGERO archives all relevant documents on behalf of the buying public entity.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
24 May 2018	Document created
28-May 2021	Amended section 5 document processing section
06-October-2021	Amended flow charts section 11 Amended section 6 – invoice content
09-September 2022	Amendment to section 6.5 General review of the document content
10 August 2023	Section 10.1: Penalties